

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR ENGROSSED
SENATE BILL NO. 1346

By: Woods of the Senate

and

Newton of the House

COMMITTEE SUBSTITUTE

[water and water rights - Water and Wastewater

Infrastructure Investment Program - rule

promulgation - priority scoring - clawback -

publication - codification - effective date -

emergency]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 1085.66 of Title 82, unless
there is created a duplication in numbering, reads as follows:

A. 1. The Oklahoma Water Resources Board shall establish and
administer a Water and Wastewater Infrastructure Investment Program.

1 The program shall include development of competitive loans for
2 eligible entities seeking to develop and implement water or
3 wastewater improvement projects. The Board shall promulgate rules
4 to effectuate the provisions of this act and loan criteria for the
5 program.

6 2. Loan applications shall be ranked on criteria including, but
7 not limited to, the critical nature of the project, available
8 financing for the project, conservation and fiscal sustainability
9 efforts as demonstrated by participation in or completion of the
10 Long Range Sustainability Program administered by the Oklahoma Rural
11 Water Association, and pledge of matching funds, either through the
12 entity or a third-party source.

13 3. For the purposes of this section, "eligible entity" or
14 "eligible entities" means an eligible entity as defined pursuant to
15 Section 1085.32 of Title 82 of the Oklahoma Statutes.

16 B. All loans authorized pursuant to the provisions of this act
17 shall include a clawback provision in the funding agreement with an
18 eligible entity. For purposes of this subsection, a "clawback
19 provision" shall mean a condition precedent to participate in the
20 program whereby a loan recipient agrees in writing, signed by all
21 parties, to reimburse the program all or any part of the loan
22 disbursed to the recipient upon the failure of the recipient to
23 fulfill loan contract terms.

1 C. The Board shall create and publish an interactive map on the
2 Board's website displaying critical infrastructure needs and
3 proposed projects to be completed pursuant to the provisions of this
4 act. The map shall also display the status of proposed and approved
5 projects, estimated completion dates, and any other information
6 deemed necessary by the Board.

7 SECTION 2. NEW LAW A new section of law to be codified
8 in the Oklahoma Statutes as Section 1085.67 of Title 82, unless
9 there is created a duplication in numbering, reads as follows:

10 A. 1. There is hereby created in the State Treasury a
11 revolving fund for the Oklahoma Water Resources Board to be
12 designated the "Water and Wastewater Infrastructure Investment
13 Revolving Fund". The fund shall be a continuing fund, not subject
14 to fiscal year limitations, and shall consist of all monies
15 appropriated to the fund by law. All monies accruing to the credit
16 of the fund are hereby appropriated and may be budgeted and expended
17 by the Board for the purposes provided in this act. The Board may
18 enter into contracts with financial institutions and execute such
19 instruments as may be necessary to hold and disseminate loan funds
20 in accordance with applicable regulations and Board policies.

21 2. Notwithstanding any other provisions of law, income and
22 investment return on fund principal and interest income and
23 repayment of principal on loans made from the balance of the fund
24 shall accrue to the fund.

1 B. 1. The Board shall have full discretion of all monies
2 within the fund for enhancements, leveraging, and reserve capacities
3 for the Board loan and grant programs, system evaluation and risk
4 assessment assistance, and long-range infrastructure planning.

5 2. The Board may reserve up to two percent (2%) per year from
6 the fund for the purpose of administering the Water and Wastewater
7 Infrastructure Investment Program. Any remaining funds may be
8 allocated to satisfy the purposes of paragraph 1 of this subsection.

9 SECTION 3. This act shall become effective July 1, 2026.

10 SECTION 4. It being immediately necessary for the preservation
11 of the public peace, health or safety, an emergency is hereby
12 declared to exist, by reason whereof this act shall take effect and
13 be in full force from and after its passage and approval.

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